

ORIGINAL

(S E R V E D)
(JULY 27, 1999)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 97-22

BERMUDA CONTAINER LINE LTD.

v.

SHG INTERNATIONAL SALES INC.,
FX COUGHLIN CO., AND CLARK
BUILDING SYSTEMS, INC.

ORDER ADOPTING INITIAL DECISION

BACKGROUND

This proceeding was initiated by the filing of a complaint by Bermuda Container Line Ltd. ("BCL"), an ocean common carrier, against SHG International Sales Inc. ("SHG"), FX Coughlin Co. ("Coughlin"), and Clark Building Systems, Inc. ("Clark"). BCL is seeking payment for transportation of a knocked-down ("KD") building from Clark, Pennsylvania to Bermuda under its bill of lading dated January 24, 1997. The complaint alleges that SHG, the shipper on the bill of lading, violated sections 8 and 23 of the Shipping Act of 1984 ("1984 Act"), 46 U.S.C. app. §§ 1707 and 1721, or alternatively sections 10(a)(1) and 19 of the 1984 Act, 46 U.S.C. §§ 1709(a)(1) and 1718. The complaint further alleges that Coughlin, an ocean freight forwarder, violated section 19 of the 1984 Act, 46 U.S.C. app. § 1718, and 46 C.F.R. §§ 510.21(c), (e) and (f). Lastly, the complaint alleges that Clark, the manufacturer of the KD building, violated section 10(a)(1) of the

1984 Act. The proceeding was assigned to Chief Administrative Law Judge Norman D. Kline ("ALJ").

On March 24, 1998, the ALJ served an Initial Decision ("I.D."), in which he found that SHG had violated section 10(a)(1) of the 1984 Act and awarded reparations to BCL in the amount of \$4,193.75.¹ He concluded that SHG had knowingly and willfully obtained transportation services by an unjust or unfair device or means, by inducing BCL to extend credit to it and to surrender the cargo without first receiving payment. This decision became administratively final on May 6, 1998. Subsequently, by order served May 14, 1998, the complaint was dismissed against Clark, based on BCL's decision not to further pursue its claim against Clark.

On August 6, 1998, the ALJ served a second Initial Decision in which he found that Coughlin had not violated the 1984 Act or the Commission's regulations. On August 31, 1998, BCL submitted exceptions to this Initial Decision, to which Coughlin replied.

INITIAL DECISION

In his Initial Decision of August 6, 1998, the ALJ made thirty-one specific findings of fact relevant to BCL's claim against Coughlin. These findings reveal the following with respect to the shipment in question.

¹ SHG had been properly served, but declined to participate in the proceeding.

Coughlin is a licensed and bonded ocean freight forwarder. SHG, a Michigan corporation founded by Stephen H. Gorman, is not a licensed ocean freight forwarder, nor does it have an NVOCC tariff or bond. On December 17, 1996, on behalf of SHG, Gorman contacted BCL's U.S. general agent, Bermuda Agencies Ltd. ("BAL"), seeking to book a shipment of a KD building from Clark, Pennsylvania to Bermuda. Gorman informed BAL that Coughlin would be acting as the freight forwarder for the shipment. BAL quoted a price of \$4,100, including freight and the cost of a tarp and driver's assistance. By letter dated December 18, 1996, SHG informed the underlying shipper, Clark Building, that it could transport the shipment to Bermuda for \$4,550.00. On December 19, 1996, SHG faxed a copy of its December 18 letter to Clark with a revised price of \$3,650.00, with the notation that the freight must be prepaid and accompanied by a commercial invoice. On December 20, 1996, Clark prepared a commercial invoice and straight bill of lading that identified Clark as the shipper and SHG as the carrier. Coughlin also received a copy of this invoice.

On December 20, 1996, Clark issued a check to SHG in the amount of \$3,650.00, in payment of the freight. SHG deposited this check on December 23, 1996, and advised Clark by fax of a tentative pick up date in January 1997. On January 16, 1997, SHG's President, Gorman, was hired by Coughlin as a senior account

executive, effective January 27, 1997. Gorman had previously applied for a job with Coughlin on October 14, 1996.

On January 17, 1997, during a telephone conversation between BAL and Coughlin, BAL confirmed a quotation for transportation of the shipment, and Coughlin confirmed that the shipper was SHG. By fax dated January 17, 1997, Coughlin confirmed the booking and also advised Clark that the shipment would be picked up at its facility on January 22, 1997. On that same date, BCL and SHG entered into a credit agreement, under which BCL extended 30 days credit to SHG for the payment of the freight on the shipment.

Coughlin prepared a master bill of lading for the shipment, naming SHG as the shipper and Coughlin as the forwarder, and faxed it to BCL on January 22, 1997. On January 24, 1997, BAL retyped the master bill of lading on BCL's form and issued it to SHG. BCL transported the shipment to Bermuda and delivered it to the consignee on February 7, 1997. BCL paid Coughlin a freight forwarder commission of \$93.73 on February 4, 1997. In its endorsement on BCL's check, Coughlin certified that it had prepared and processed the ocean bill of lading, dock receipt or other similar documents.

On January 29, 1997, BCL issued an invoice to SHG for \$4,100.00. SHG failed to pay this invoice during the 30-day credit period or at any time thereafter. At one point, BAL was advised by SHG that Clark was the real shipper of record. Prior to releasing

the shipment, BCL was not aware that SHG was acting as a carrier in connection with the shipment. According to BCL's affidavit, if BCL becomes aware that a shipper may be acting as an NVOCC, it seeks confirmation that it has a tariff and bond. If BCL were to become aware that a shipper is an untariffed or unbonded NVOCC after accepting a shipment, it would not release the shipment until the documentation was corrected and the freight paid in full. Under such circumstances, BCL also would not have paid a freight forwarder commission to Coughlin.

In addition to the instant shipment, Coughlin dealt with SHG in connection with a shipment on behalf of John M. Pressly between November 8, 1996 and December 2, 1996. In that instance, SHG acted as a middleman, but not as the shipper. On June 19, 1997, Gorman's employment with Coughlin was terminated.

The ALJ first addresses Coughlin's duties and liabilities as a licensed freight forwarder. He notes that BCL has cited four different freight forwarder regulations and three Commission cases to support the proposition that Coughlin had a duty to investigate SHG and to warn BCL about it and not to show SHG as "shipper" on the bill of lading prepared by it. The ALJ concludes that Commission regulations (46 C.F.R. §§ 510.21(f), 510.22(c), 510.23(a), and 510.23(c)) do not require a licensed freight forwarder to investigate its principals, i.e., its shipper customers, but rather indicate that they are fiduciaries of their

principals for whom they act as agents. Nonetheless, the ALJ recognizes that freight forwarders must also exercise care in their relations with carriers, although they are not agents for such carriers.

The ALJ states that the cases in which the Commission announced the generally high standards expected of licensed freight forwarders usually dealt with situations in which the forwarders had failed to remit the shippers' money to the carrier or assisted the carrier in passing on rebates to shippers by acting as "dummy" forwarders. He contends that these cases do not address the instant situation in which the issue is the extent to which a freight forwarder must protect a negligent carrier from a dishonest shipper. He notes that in the three cases cited by BCL - Tractors and Farm Equipment, Ltd. v. Waterman Steamship Corp. & Cosmos Shipping Co. ("TAFE"), 25 F.M.C. 375 (1982); Crescent Navigation, Inc., 24 F.M.C. 72 (1981); and Midland Pacific Shipping Co., 25 F.M.C. 715 (1983) - although the forwarders violated duties of care to persons other than shipper-principals, their conduct was egregious and knowing.

The ALJ concludes that he is unable on this record to find that Coughlin acted knowingly and deliberately and clearly imparted false information. In the first place, he finds that Coughlin's identification of SHG as shipper on the bill of lading was correct, because under applicable law SHG was the shipper. He notes further

that in the cases cited by BCL, the forwarder deliberately participated in unlawful schemes that harmed innocent third parties, who were free of negligence.

The ALJ observes that the basis for BCL's contention that Coughlin imparted false information regarding the real shipper is that Coughlin represented SHG as the real shipper and that this information was false. He notes, however, that the definition of "shipper" in the 1984 Act includes not merely the owner of the cargo, but also the person for whose account the ocean transportation is provided or to whom delivery is made. 46 U.S.C. app. § 1702(23). He argues further that if SHG were acting as an NVOCC, it was the shipper in its relationship with BCL, citing 46 U.S.C. app. § 1702(17) (the definition of "non-vessel-operating common carrier"). He contends that the record shows that SHG booked the shipment with BCL, was shown as the shipper on BCL's bill of lading, and was billed by BCL for the freight. Consequently, he finds SHG, not Clark, to be the person for whose account the ocean transportation was provided, i.e., the "shipper."

The ALJ asserts that BCL's real concern is not the information given by Coughlin, but rather what Coughlin did not do, i.e., investigate SHG or warn BCL of potential problems. In this regard, the ALJ notes that the Commission's regulations prohibit forwarders from knowingly imparting false information to carriers, require forwarders to exercise care and diligence in preparing shipping

documents, and require forwarders to withdraw from a transaction in which they have reason to believe the shipper-principal has violated the law. However, they are not required by regulation to conduct investigations of their shipper-principal on behalf of carriers and to warn carriers about such shippers. He points out that even if the forwarder has reason to believe the shipper-principal has acted unlawfully, its only duty is to advise its principal and decline to participate further. The ALJ concludes that the forwarder regulations do not impose an additional duty of investigation or warning. Even if such a duty existed, the ALJ finds that the record does not indicate that Coughlin had reason to believe that SHG was acting as an unlawful NVOCC, was a bad credit risk or was likely to cheat BCL out of its freight money.

The ALJ further concludes that BCL has failed to meet its burden of persuasion in attempting to show that Coughlin knew or had reason to believe that SHG was acting as an unlawful NVOCC. At best, he concludes that Coughlin probably had sufficient knowledge to infer that SHG was an NVOCC. Lastly, he find that Coughlin had no knowledge of the credit-worthiness of SHG and had no reason to warn BCL, assuming arquendo, that it had a duty to warn.

In this regard, the ALJ notes that the record shows that SHG booked the shipment with BCL and informed it that Coughlin would be acting as the freight forwarder and that SHG acted as an NVOCC in its relations with Clark. The ALJ also finds support in the record

for the proposition that Coughlin believed that SHG intended to pay the ocean freight. The bill of lading prepared by Coughlin indicates that freight would be prepaid by the shipper - SHG. The ALJ notes that Coughlin was unaware of the fact that BCL extended credit to SHG and points out that Coughlin refused to extend credit to SHG.

The ALJ next addresses the principles of foreseeability and proximate causation. He states that under the Shipping Act, 1916, the Commission generally held that a violation of law must proximately cause the alleged damages, and contends that the same principle applies under the 1984 Act, since the Commission must award reparation for "actual injury . . . caused by a violation of this Act." 46 U.S.C. app. § 1710(g). Citing authorities on tortious conduct, he notes that negligent defendants are held liable for damages if the consequences of their acts were "foreseeable" and notes that courts do not normally hold defendants liable for failure to take precautions against the intentional acts of third persons who may harm plaintiffs.

The ALJ construes BCL's position to be that it accepted the cargo and extended credit to SHG because Coughlin did not inform BCL that SHG was not the "real shipper" or operating as an unlawful NVOCC. He finds, however, that SHG's dishonest and deceitful conduct proximately caused BCL to extend credit and release the cargo. He therefore finds on the record that Coughlin's

participation in the shipment is too limited and remote to impose liability or responsibility on Coughlin for SHG's dishonesty. He concludes that BCL has not proven that Coughlin should be held liable for the freight money owed by SHG, and that BCL's remedy is to seek enforcement of its money judgment against SHG in court.

The remaining issue concerns whether Coughlin is entitled to the freight forwarder commission of \$93.75 paid by BCL. BCL has claimed that Coughlin violated section 19 of the 1984 Act and 46 C.F.R. § 510.21(f) by falsely representing that it had performed the necessary statutory duties, when all it did was prepare or process a master bill of lading. In response, Coughlin has averred that it performed the duties in accordance with its endorsement on the back of BCL's check, and prepared the ocean bill of lading and an export declaration.

The ALJ notes that a forwarder's duty under the Commission's regulations is to certify that it provided the statutory services and also disclosed the shipper on the bill of lading. 46 C.F.R. § 510.23(b). He notes that Coughlin did disclose SHG as the shipper on the bill of lading and that this was proper under relevant law. As for the services performed by Coughlin, the ALJ notes that the record shows that Coughlin prepared the original bill of lading and the export declaration, and confirmed the original booking with BCL on January 17, 1997. He concludes that Coughlin thus met the

requirements of sections 19(d)(1)(A) and 19(d)(1)(B) of the 1984 Act.

Lastly, the ALJ discusses the desirability of changing the existing freight forwarder rules to broaden a forwarder's duty to an ocean common carrier. He notes that courts sometime permit agencies to announce new rules of conduct in adjudicatory proceedings and apply them retroactively. In the instant case, however, he recommends that the Commission not do so. Instead, he suggests that this is a policy matter for the Commission to consider in a rulemaking proceeding in which it would seek comments from the entire forwarding and ocean carrier industry.

EXCEPTIONS AND REPLY

A. BCL's Exceptions

BCL begins its Exceptions by relating the following story:

The decision came down. I was robbed, me Mike Finnegan -- in fact twice. First, my apartment was cleaned out by that smooth talking Sir Henry Spoonweather. He got friendly with everybody while casing the 'hood. But the cops knew he was a convicted felon. Then, while I was away enjoying my lottery winnings, Spoonweather came 'round with a truck, a drill and torch. I knew that 'cause Flanagan the cop on the beat - he'd been there for years - told me he helped 01' Henry carry the drill and torch up the steps. There's where I got robbed again. With my stuff long gone and Spoonweather up river, I goes after the cops. But the judge, Judge Klein, says I gotta get my money from Spoonweather in the pen and by the way it was my own fault for not having a bigger lock. Where's the justice - aren't the cops there to protect us?²

² Coughlin submits that this opening paragraph of BCL's
(continued...)

It contends that like policemen, freight forwarders are required by law to advise carriers of the identity of the shipper and to withdraw from handling a shipment if a shipper is violating the law. BCL then addresses two issues: Coughlin's knowledge of SHG's status, and purported errors in the ALJ's discussion of causation.

BCL believes that there is ample evidence for the Commission to conclude that Coughlin knew that SHG was an NVOCC in connection with the shipment and that it was thus on notice that SHG was violating the law since the Commission's public files contain no tariff or bond for SHG. It further contends that Coughlin knew about SHG's status and unlawful conduct because the founder and president of SHG, Stephen H. Gorman, was one of Coughlin's employees. BCL argues that under Commission regulations, it was unlawful for Coughlin to have named SHG as the shipper on the bill of lading it prepared and that it consequently should have ceased to handle the shipment when it discovered SHG was acting illegally.

BCL notes that the ALJ found that it would have refused to deliver the shipment if it had known or suspected that SHG was an

²(...continued)

Exceptions should be stricken from the record. It believes that the comparison of Coughlin's actions to criminal acts borders on defamation and is insulting to Coughlin and its attorneys. We share Coughlin's view that BCL's literary effort is needlessly uncomplimentary. We refrain from striking it from the record, however, as it represents the long-awaited debut of Norman Kline, Chief ALJ, in the pulp fiction genre, and a second appearance is unlikely in the near future.

NVOCC. It thus contends that Coughlin's failure to advise BCL of SHG's status was a cause of the damage incurred by BCL. BCL contends, therefore, that the ALJ's conclusion that Coughlin's actions were not a proximate cause of BCL's damages is wrong for two reasons.

First, BCL argues that SHG's failure to pay the freight was not an "intervening cause" relieving Coughlin from liability. It contends that SHG's actions worked together with those of Coughlin to cause the damage to BCL. Second, BCL takes issue with the Initial Decision's treating Coughlin's action as ordinary negligence, rather than a violation of a licensing statute involving misrepresentation. As a result, BCL contends that the pertinent questions for causation purposes are whether the person injured is within the group of persons the statute is designed to protect and whether the damage resulting from the statutory violation is within the risk the statute covers. BCL further argues that the forwarder licensing statute and regulations cover both itself and the conveyance to it of a correct shipper identification.

B. Coughlin's Reply to Exceptions

Coughlin argues that the ALJ properly found that statutory and regulatory law do not compel a forwarder to investigate the books or prior shipments of shippers. In this regard, it notes that carriers possess the biggest and best weapon against non-payment -

a possessory lien on the shipment itself. It argues that the real problem in this case is BCL's knowing and negligent release of its lien without payment.

Coughlin also maintains that this is not a tort case and that BCL's causation arguments have no applicability. In addition, Coughlin submits that accountants have an affirmative duty to check the financial statements and records of a company, but that no similar duty required it to check SHG's books or records. It contends that it was not hired to perform any such functions and there are none imposed by Commission regulations.

DISCUSSION

The complex factual situation might be summarized as follows: Complainant BCL is an ocean common carrier that transported a KD building on behalf of SHG Sales, an apparent NVOCC. Although this was the first time BCL had dealt with SHG, it extended credit to SHG for the ocean freight. When SHG failed to pay the freight, BCL brought the instant action against SHG, Clark (the manufacturer of the KD building) and Coughlin (a licensed and bonded ocean freight forwarder involved in the transaction). BCL subsequently obtained a judgment against SHG for the full amount of reparation claimed by it, and later consented to dismiss Clark as a party. BCL nonetheless pursued its action against Coughlin. The ALJ ultimately found these claims to be without merit and dismissed the proceeding.

The ALJ held that Coughlin did not breach any duty to BCL under the shipping statutes or Commission regulations; did not misrepresent the identity of SHG as the shipper; and, although it may have been able to infer that SHG was acting as an NVOCC, had no reason to know that it was operating without a tariff or bond, or was a poor credit risk likely to fail to pay the freight. He further held that Coughlin performed sufficient activities to warrant the payment of a freight forwarder commission. There is nothing in BCL's exceptions or the record that convinces us that these conclusions are incorrect.

The crux of BCL's argument is that Coughlin knew that SHG was acting as an NVOCC in connection with the shipment, and was on notice that SHG was acting unlawfully since it had neither a tariff on file with the Commission nor a bond. The ALJ concluded that BCL has failed to meet its burden of proof that Coughlin knew that SHG had failed to file a tariff or secure a bond. See 46 C.F.R. § 502.155; New Orleans Steamship Assoc. v. Plaquemines Port, 23 S.R.R. 1363, 1376 (1986). We agree.

The mere fact that a possible NVOCC does not have a tariff or bond on file with the Commission does not impute such knowledge to an ocean freight forwarder or require the forwarder to conduct an independent investigation to discern such facts. Moreover, that SHG's president became an employee of Coughlin at some point after the cargo was booked but before the shipment moved, also does not

impute to Coughlin knowledge of SHG's allegedly unlawful activities. SHG was the NVOCC/shipper, and there is nothing in the record to indicate that Gorman shared his knowledge of SHG with Coughlin.

The Commission's freight forwarder rules require a forwarder to disclose the identity of the shipper on the bill of lading. 46 C.F.R. § 510.23(a) (now 46 C.F.R. § 515.42(a)). Coughlin met this requirement when it named SHG as the shipper on the bill of lading prepared by it. SHG was the person for whose account the ocean transportation was provided and was consequently the shipper for 1984 Act purposes. See 46 U.S.C. app. § 1702(23) (now 46 U.S.C. app. § 1702(21)). Moreover, even if SHG was acting as an NVOCC on the shipment it was still a shipper in its relation with BCL. See 46 U.S.C. app. § 1702(17) (now 46 U.S.C. app. § 1702(17)(B)). The forwarder rules also prohibit licensees from knowingly imparting false information to a common carrier, among others. 46 C.F.R. § 510.21(f) (now 46 C.F.R. § 515.31(e)). Again, however, the record does not establish that Coughlin knew that SHG was not tariffed or bonded, and accordingly, Coughlin did not conclusively breach this requirement.

The three cases relied upon by BCL do not support the imposition of liability on Coughlin on the facts of this case. In Crescent Navigation, Inc., 24 F.M.C. 72 (1981), a freight forwarder was found to have violated the Commission's regulations on 27

occasions by naming someone other than the actual shipper, on the bill of lading in a scheme to enable that shipper to avoid its obligations under a dual-rate contract. The Commission found that the forwarder had ample evidence from which it knew or should have known who the actual shipper was. In Tractors and Farm Equipment, Ltd. v. Waterman Steamship Corp. and Cosmos Shipping Co., 25 F.M.C. 375 (1982), the Commission reversed and remanded an administrative law judge's decision to grant a motion to dismiss, and found that a violation of the Commission's regulations could support a violation of section 44 of the Shipping Act, 1916 (the forwarder licensing requirement). On remand, the freight forwarder was found to have, in collaboration with the exporter, knowingly falsified information on a bill of lading and otherwise mishandled the shipment. 26 S.R.R. 788 (1992). And, in Midland Pacific Shipping co., 25 F.M.C. 715 (1983), the Commission accepted a settlement agreement against three interrelated forwarders. One had collected compensation on over 1,000 shipments for which it did nothing. Another had placed the name of another company on bills of lading in place of the actual shipper and collected compensation on 84 shipments. These cases reveal instances of freight forwarders knowingly and deliberately violating Commission regulations by imparting false information on bills of lading. Coughlin's conduct in this case is in no way comparable to this activity.

BCL has also taken issue with the ALJ's discussion of causation. As indicated above, he found that regardless of whether Coughlin did not inform BCL that SHG was not the real shipper or an unlawful NVOCC, SHG's deceitful and dishonest conduct proximately caused BCL to extend credit and release the cargo. He thus found Coughlin's conduct too limited and remote to impose liability for SHG's dishonesty. BCL, citing Prosser & Keaton, Torts at 265 (5th ed. 1984), contends that SHG's actions were not intervening, but rather worked together with those of Coughlin to cause it damages. BCL also chastises the ALJ for treating Coughlin's conduct as ordinary negligence and not a violation of a licensing statute involving misrepresentation.

BCL's argument would have greater merit if the actions or inactions of Coughlin which it contends contributed to its damages were themselves violations of Commission regulations or the shipping statutes. In that case, the effects of those violations on BCL could be relevant to its requests for relief. However, as discussed above, there has been no showing that Coughlin violated any Commission regulation or the 1984 Act. As a result, the ALJ's discussion of causation is not necessary to this proceeding, and, given his other findings, it need not be adopted by the Commission.

CONCLUSION

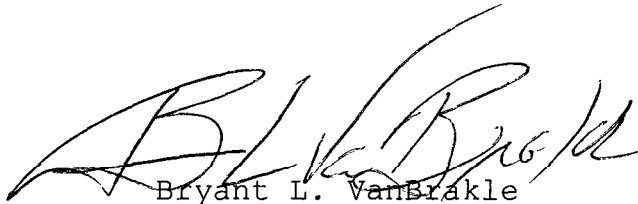
Based on the foregoing, the Commission will adopt the Initial Decision in part, except for that portion dealing with

foreseeability and proximate causation (pages 23-27). The Commission's adoption of the remainder of the Initial Decision does not imply concurrence with any suggestion that the Commission might institute a rulemaking proceeding regarding an ocean freight forwarder's duties to ocean common carriers.

THEREFORE, IT IS ORDERED, That Bermuda Container Lines' Exceptions to the Initial Decision are denied; and

IT IS FURTHER ORDERED, That the Initial Decision is adopted to the extent discussed above.

By the Commission.


Bryant L. VanBrakle
Secretary